

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

VERTERRA LTD., *Complainant*

v.

D.B. GROUP AMERICA LTD. AND D.B. GROUP INDIA LTD.,
Respondents.

DOCKET NO. 19-09

Served: March 5, 2020

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING MOTION TO DISMISS OR STAY PROCEEDING

I. Introduction

On January 13, 2020, Respondents D.B. Group America Ltd. and D.B. Group India Ltd. (collectively “D.B. Group”) filed a motion to dismiss, or in the alternative, to stay this proceeding (“Motion”) and a memorandum of law in support of the motion (“Motion Memo”). On January 28, 2020, Complainant VerTerra Ltd. (“VerTerra”) filed a memorandum of law in opposition to D.B. Group’s motion to dismiss or stay (“Opposition”). On February 4, 2020, D.B. Group filed its reply in support of the motion (“Reply”).

On February 6, 2020, VerTerra’s motion for leave to file a sur-reply was filed with a copy of the proposed sur-reply (“Sur-Reply Motion”). On February 7, 2020, Respondents filed an opposition to the motion for leave to file a sur-reply (“Sur-Reply Opposition”). For the reasons set forth below, D.B. Group’s motion to dismiss or stay is **DENIED** and VerTerra’s motion to file a sur-reply is **DENIED**.

II. Arguments of the Parties

D.B. Group seeks to dismiss or stay this proceeding in favor of a prior pending state court case in New York, arguing that New York state courts are appropriate because of the forum selection clause in a credit application by VerTerra and power of attorney VerTerra executed granting D.B. Group limited rights as VerTerra’s agent, as well as a counter claim filed by VerTerra against D.B. Group in the New York state case. Motion Memo at 1-7.

VerTerra asserts that this action “addresses numerous and pervasive violations of the Shipping Act,” arguing that the motion to dismiss should be denied because forum selection clauses do not support dismissal of Commission actions and that there are no legal grounds to dismiss or stay this action on the basis of a previously filed action in state court. Opposition at 1, 6-15.

III. Analysis

A. Motion to Dismiss

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. This precedent was described in a prior proceeding:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: "Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court." In *Cargo One*, the question was whether this provision precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission's jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd., 28 S.R.R. 1635, 1645 (FMC 2000).]

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order

of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.” *Id.*, at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, 33 S.R.R. 1230, 1232-33 (ALJ 2015) (Order Denying Request for Stay).

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov't of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court's dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

D.B. Group contends that the Commission and state court complaints are “entirely duplicative” and that VerTerra “must not be permitted to pursue the identical claim against the same party in two different forums.” Motion Memo at 1. VerTerra asserts that the parties and the claims at issue are different in the state court proceeding than the parties and claims at issue here. Opposition at 11-12.

Here, the exhibits attached to the motion clearly show that the parties in the state court case differ slightly from the parties here and that the claims vary significantly. Motion exhibits 1 and 3. The state court case was filed by D.B. Group America, but not D.B. Group India, against VerTerra and Michael Dwork, whereas this claim was filed solely by VerTerra against both D.B. Group America and D.B. Group India.

The state case alleges causes of actions for breach of contract, unjust enrichment, and quantum meruit. Motion exhibit 1. The answer in the state court case denies the three causes of action, asserts fifteen affirmative defenses, and raises five counterclaims. Motion exhibit 3. The case before the Commission alleges violations of the Shipping Act, including 46 U.S.C. §§ 40501 (general rate and tariff requirements), 40502 (service contracts), and 41104 (common

carriers). Thus, the Commission and state court cases allege different violations. The state court does not have jurisdiction to decide the Shipping Act claims just as the Commission does not have jurisdiction to decide the state law claims. In addition, jurisdiction over Shipping Act claims cannot be transferred to another venue by form language in an agreement between the parties.

D.B. Group also asserts that VerTerra cannot state a claim for relief because it affirmatively invoked the state court's jurisdiction by asserting counterclaims. Motion at 6-7. VerTerra argues that there is no basis to dismiss the Commission action based on the existence of a state court action or VerTerra's counterclaim in that action. Opposition at 13-15.

VerTerra's verified answer and counterclaims in the state court case allege that: "As a result of charging VerTerra unapproved rates in excess of those published in the applicable tariff in violation of the terms of the Shipping Act, D.B. Group America was illegally and unjustly enriched at VerTerra's expense." Motion exhibit 3 at 15. While this is an allegation related to the Shipping Act, as discussed above, merely listing it as one of many counterclaims does not deprive the Commission of jurisdiction over the Shipping Act violations alleged in this proceeding.

The parties raise factual disputes about the documents which included the forum selection clauses, whether the clauses were applicable to any of the shipments, and other details regarding the credit application and power of attorney. It is not necessary to resolve these issues as they are not determinative of the pending motion. To the extent that these arguments are relevant to other issues in this proceeding, they may be raised as appropriate.

Irrespective of the outcome of the state court case between the parties, the Commission will have the obligation to determine whether the Shipping Act was violated. Therefore, Respondents have not established that this proceeding should be dismissed to await that outcome. Respondents' motion to dismiss is denied.

B. Stay

D.B. Group asks, in the alternative, for a stay of this proceedings, arguing that New York state is the first filed action, the parties are New York based companies, New York is a more convenient forum, the credit application and power of attorney are governed by New York law, the New York court is capable of applying the Shipping Act, and staying this proceeding would avoid piecemeal litigation. Motion at 8-11.

VerTerra asserts that the motion to stay should be denied, arguing that this argument has been rejected previously and that even if the factors are applied, they weigh in favor of denying the stay because the Commission has the exclusive jurisdiction to determine whether there was a violation of the Shipping Act. Opposition at 15-18.

The Commission may grant a request to stay a proceeding, however, the party seeking a stay has the burden to demonstrate the need for the stay. The test for evaluating a motion to stay was articulated by Justice Cardozo, who wrote that "the power to stay proceedings is incidental

to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” *Landis v. North American Co.*, 299 U.S. 248, 254 (1936). The Commission has stated that:

Rule 201(i), on its face, grants a presiding officer complete discretion in deciding motions pertaining to discovery. Thus, the question of whether to grant a motion for stay of discovery is discretionary, and requires only a balancing of various competing interests. In this regard, the movant must first “make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to some one else.”

Exclusive Tug Arrangements in Port Canaveral, Florida, 29 S.R.R. 1020, 1022 (FMC 2002) (citing 46 C.F.R. § 502.201(i) and quoting *Landis v. North American Co.*, 299 U.S. at 254-255); see also *Carolina Marine Handling, Inc v. South Carolina State Ports Authority*, 28 S.R.R. 1595, 1598-99 (ALJ 2000) (Ruling on Motions to Stay and Leave to Appeal). In *Exclusive Tug Arrangements*, the Commission denied a motion to stay discovery pending a Commission decision in a companion case, concerned that for another party, “the costs of participating in this proceeding are considerable and increase each time a deadline is extended.” *Exclusive Tug Arrangements*, 29 S.R.R. at 1022.

The Supreme Court addressed the factors to consider when deciding whether to stay a federal proceeding pending the outcome of a related state court matter. *Moses H. Cone Memorial Hosp. v. Mercury Construction Corp.*, 460 U.S. 1, 14-18 (1983). These factors include “which court first assumed jurisdiction, the inconvenience of the federal forum, the desirability of avoiding piecemeal litigation, whether state or federal law provides the rule of decision on the merits, the adequacy of the state court to protect the parties’ rights, and whether one of the actions has a vexations or reactive nature.” *Profile Manufacturing, Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048, at *7 (Fed. Cir. 1994).

D.B. Group relies on an order granting a joint motion to stay proceedings in *General Motors v. Nippon Yusen Kabushiki Kaisa*, which stated that both “parties filed a joint motion requesting the stay and there is no non-moving party that would be prejudiced or disadvantaged by a stay.” *General Motors LLC v. Nippon Yusen Kabushiki Kaisa*, 34 S.R.R. 7, 9 (ALJ 2016) (Order Granting Joint Motion to Stay Proceedings). In this case, however, the stay is opposed.

While the New York case was filed prior to this proceeding, that is the only factor clearly weighing in favor of the stay. This forum is not significantly less convenient as this case can likely be resolved without in-person hearings. Because the New York state courts cannot adjudicate violations of the Shipping Act, the factors of avoiding piecemeal litigation, which law provides the rule of decision on the merits, and the adequacy of the state court to protect the parties interests all weigh against the stay. It does not appear that this proceeding is vexatious or reactive in nature.

The Commission has an obligation to determine whether Shipping Act violations are impacting the shipping public and the Commission has provided a one-year deadline for the initial decision to be issued. It does not appear that there would be sufficient benefits from

consecutive, as opposed to concurrent actions, to support a stay. Accordingly, the request for a stay is denied. However, to increase efficiency, any discovery conducted in the New York case may be utilized in this proceeding.

C. Sur-Reply

VerTerra moved for leave to file a sur-reply to address an evidentiary argument it believes was raised for the first time in the reply regarding whether a statement disclosed in settlement conversations should be stricken. Sur-Reply Motion at 1-2. D.B. Group asserts that there are no extraordinary circumstances justifying the submission, there were no new arguments raised in the reply, and the sur-reply serves no purpose. Sur-Reply Opposition at 1-2. Sur-replies are only permitted in extraordinary circumstances, pursuant to Rule 70(d). 46 C.F.R. § 502.70(d). The comment at issue was not relevant to the determination of the motion. Accordingly, the motion seeking leave to file the sur-reply is **DENIED**.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that VerTerra's motion to file a sur-reply be **DENIED**. It is

FURTHER ORDERED that D.B. Group's motion to dismiss or stay the proceedings be **DENIED**. It is

FURTHER ORDERED that the D.B. Group shall file its answer to the complaint by March 16, 2020. It is

FURTHER ORDERED that as required by the initial order, the parties shall contact CADRS and shall submit a joint status report with proposed schedule by March 30, 2020.



Erin M. Wirth
Chief Administrative Law Judge